Krishna Institute of Medical Sciences Ltd

Q3FY23 Result Update | Hospitals

Sunshine & Kingway to drive growth

DALAL & BROACHA
STOCK BROKING PVT. LTD.

Equity Research Desk

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KIMS posted robust revenue growth on account of Sunshine & Kingsway merger with base business showing improvement of 10 bps at EBITDA level.Turnaround of Sunshine will be key driver for KIMS overall EBITDA as there is big room to grow from 21% to 25% EBITDA once occupancy picks up at Sunshine.Management is further confident of closing one-two deals in upcoming quarters leveraging their healthy balance sheet & operating cashflows.Also management is looking at increasing its stake in certain subsidiaries thereby reducing its minority contribution.

Key Business Highlights

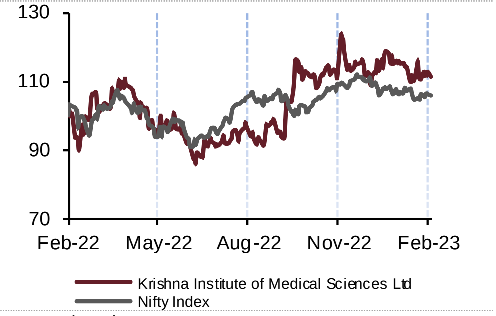
- **Acquired an additional stake in three of its subsidiaries: 1.92% in Sunshine hospital, 4.07% in Kondapur hospital and 7.79% in Srikakulam Hospitals. Going forward, aim to acquire further stake in these units. (Positive as dilution of minority interest at EBITDA & PAT level to reduce going forward)**
- **The new Unit for Sunshine Secunderabad Hospital is in its final stages of completion, and company aims to shift to this new state of-art facility by FY24.**
- **Projects undertaken at Nashik (Greenfield project) and Bangalore (Semi Brownfield) are progressing well and are expected to be operational by FY25.**
- **Fund raise of Rs.3000 Mn via NCDs just an enabling provision for future growth plans.Company looking at acquisition at reasonable cost.**
- **Promoter Pledge : Likely to reduce in next 2-3 quarters (KIMS business unlikely to be disturbed by promoter groups real estate business)**

Rating	TP (Rs)	Up/Dn (%)
ACCUMULATE	1,700	17

Market data		
Current price	Rs	1,451
Market Cap (Rs.Bn)	(Rs Bn)	116
Market Cap (US$ Mn)	(US$ Mn)	1,407
Face Value	Rs	10
52 Weeks High/Low	Rs	1,669/ 1,113
Average Daily Volume	('000)	21
BSE Code		543308
Bloomberg		KIMS.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-22	Sep-22
Promoters	38.84	38.84
Public	61.16	61.16
Total	**100**	**100**

Source: Bloomberg

Key Risk :

- High dependency on healthcare professionals
- High dependency on one facility
- Dependence on top doctors
- Cessation of lease
- Clinical negligence
- Government intervention

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21	FY22	FY23E	FY24E	FY25E
Net sales	11,226	13,299	16,510	21,722	26,593	31,097
EBIDTA	2,450	3,709	5,160	5,955	7,480	8,821
Margins	21.8	27.9	31.3	27.4	28.1	28.4
PAT (adj)	1,192	2,012	3,329	3,226	4,193	4,937
Growth (%)	-	68.7	65.5	(3.1)	30.0	17.7
EPS	16.0	25.9	41.6	40.3	52.4	61.7
P/E (x)	90.9	56.1	35.0	36.1	27.8	23.6
P/B (x)	18.1	13.1	8.4	6.8	5.5	4.4
EV/EBITDA (x)	45.2	30.3	22.5	18.2	14.2	11.8
RoE (%)	19.9	23.3	24.0	18.9	19.7	18.8
ROCE (%)	19.9	27.3	28.6	25.2	26.1	23.6

Source: Dalal and Broacha

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Key Financials Highlights

- **Revenue (Excl OI) at INR 5,622 Mn, +43% YoY / +0% QoQ**

  Mainly on account of sunshine + Kingsway merger ; revenue growth was backed by IP Volumes (+15.5% YoY / -1.6% QoQ) and OP Volume growth (+17.5% YoY / +1.7% QoQ)

- **Adj EBITDA (Excl OI,One-off item & IND AS 116) at INR 1,470.1 Mn, +14% YoY / -2.1%% QoQ**

  Consolidated Adj EBITDA Ex of Nagpur saw an improvement of 0.1% on QoQ basis & stands at 27.2% vs 27.1% a quarter back

- **Adj EBITDA margin (Excl OI,One-off item & IND AS 116) at 26.2% vs 32.8% / 26.6% in Q3FY22 / Q2FY23)**

  EBITDA showed an improvement of 0.1% on QoQ basis (Ex-Kingsway Nagpur)

- **Adj PAT at INR 760 Mn, -6% YoY / -12% QoQ**

  Adj EPS stood at INR 9.5 vs 10.1 / 10.8 in Q3FY22 / Q2FY23

Quarterly Financials

(Rs.Mn)	Q3FY23A	Q3FY22	YoY Growth (%)	Q2FY23	QoQ Growth (%)
Revenue from Operations	**5,622**	**3,936**	**43%**	**5,641**	**0%**
Other Income	65	24	170%	92	-30%
Total RM Cost	1,235	822	50%	1,253	-1%
Employee Benefits Expense	872	610	43%	842	4%
Other Expenses	2,003	1,206	66%	2,022	-1%
Total Expenses	4,110	2,638	56%	4,116	0%
EBITDA (Excluding Other Income)	**1,512**	**1,298**	**17%**	**1,524**	**-1%**
Depreciation and Amortisation Expenses	333	188	77%	311	7%
EBIT / PBIT	**1,243**	**1,133**	**10%**	**1,305**	**-5%**
Finance Costs	115	30	289%	79	46%
EBT/ PBT	**1,128**	**1,104**	**2%**	**1,226**	**-8%**
Tax Expense	310	282	10%	314	-1%
Net Profit after Tax (Adjusted)	**760**	**812**	**-6%**	**866**	**-12%**
Earning Per Share (Adjusted)	9.5	10.1	-6%	10.8	-12%
Margins (%)					
EBITDA Margins (Excl Other Income)	26.9%	33.0%	-608	27.0%	-13
PAT Margins	13.5%	20.6%	-711	15.4%	-184
As a % to sales					
RM as a % to sales	22.0%	20.9%	109	22.2%	-24
EE Cost as a % to sales	15.5%	15.5%	0	14.9%	59
Other exps as a % to sales	35.6%	30.6%	499	35.8%	-22
Key Operational Metrics					
IP Volumes	45,836	36,229	27%	46,616	-2%
OP Volumes	3,81,604	2,79,978	36%	3,75,188	2%
ARPOB (Rs)	29,812	23,189	29%	29,237	2%

Particulars	Consolidated					Nagpur		Consolidated Ex. Nagpur			
	Q3 FY 23	Q2 FY 23	Q3 FY 22	QoQ	YoY	Q3 FY23	Q2 FY23 #	Q3 FY 23	Q2 FY 23	QoQ	YoY
Total Income	5,686.1	5,732.8	3,959.6			372.5	143.2	5,313.7	5,589.6		
Less : Other Income	64.5	92.0	23.9			1.2	0.6	63.3	91.5		
Revenue from Operations	5,621.6	5,640.7	3,935.7	-0.3%	42.8%	371.2	142.6	5,250.4	5,498.1	-4.5%	33.4%
PBT	1,128.2	1,226.3	1,103.8	-8.0%	2.2%	-80.7	-25.7	1,208.8	1,252.0	-3.5%	9.5%
Add : Interest	115.2	78.8	29.7			60.0	23.5	55.3	55.3		
Add : Depreciation	332.9	311.2	188.1			37.2	16.7	295.7	294.5		
Reported EBITDA (Including other income) as per Financials	1,576.3	1,616.3	1,321.5	-2.5%	19.3%	16.5	14.5	1,559.8	1,601.8	-2.6%	18.0%
Less : Other Income	64.5	92.0	23.9			1.2	0.6	63.3	91.5		
Less : INDAS 116	67.9	77.3	8.2			-	-	67.9	77.3		
EBITDA Pre INDAS & Other Income	1,444.0	1,447.0	1,289.4	-0.2%	12.0%	15.3	14.0	1,428.7	1,433.0	-0.3%	10.8%
EBITDA % to Revenue from Operations	25.7%	25.7%	32.8%			4.1%	9.8%	27.2%	26.1%		
Add : One off Old Luxury Tax Settlement		54.9						-	54.9		
Add : One off Expenses in Q3 (Nagpur)	26.1					26.1		-	-		
Adjusted EBITDA	1,470.1	1,501.9	1,289.4	-2.1%	14.0%	41.4	14.0	1,428.7	1,487.9	-4.0%	10.8%
Adjusted EBITDA %	26.2%	26.6%	32.8%			11.1%	9.8%	27.2%	27.1%		

Source: Company, Dalal & Broacha Research

Did you know?

In a populous country like India occupancy is not a constraint but affordability is. KIMS is one of the lowest cost quality healthcare service providers with industry leading margins backed by consistent volumes driven by doctors who own equity in the company.

Key Operating Metrics

Particulars	FY18	FY19	FY20	FY21	FY22	FY23E	FY24E	FY25E
Total Commissioned Beds (in No.s)	2,120	2,804	3,004	3,064	3,064	4,015	4,540	5,040
Incremental beds (in No.s)		***684***	***200***	***60***	-	***951***	***525***	***500***
Total Operational Census Bed Capacity (in No.s)	1,705	2,209	2,434	2,590	2,590	3,543	3,995	4,435
Incremental beds (in No.s)		***504***	***225***	***156***	-	***953***	***452***	***440***
Occupancy (On Operational Census Beds)	N.A.	N.A.	N.A.	78.6%	79.9%	65.6%	67.8%	68.0%
IP Volume	88,600	1,11,382	1,40,676	1,16,520	1,36,746	1,75,317	2,01,003	2,29,313
OP Volume	6,61,000	9,00,043	11,37,560	8,30,211	10,13,759	12,99,703	14,90,124	17,00,003
ARPOB (in ₹)	18,832	18,344	18,323	20,599	25,206	30,000	31,500	33,075
ARPP (in ₹)	84,367	81,998	79,522	1,13,912	1,20,737	1,23,900	1,32,300	1,35,608
ALOS (in days)	4.48	4.47	4.34	5.53	4.79	4.13	4.20	4.10
Operating Revenue (Excluding OI)	6,637	9,180	11,226	13,299	16,510	21,722	26,593	31,097
EBITDA (Excluding OI)	1,394	1,740	2,511	3,709	5,160	5,955	7,480	8,821
EBITDA (%)	21.0%	19.0%	22.4%	27.9%	31.3%	27.4%	28.1%	28.4%

Source: Company, Dalal & Broacha Research

Management Concall KTAs

- **Update on new facilities**
  - > **Higher occupancy @ Sunshine to drive margin expansion (Annualised revenue of ~Rs.4,000 Mn @ 39% occupancy level)**
  - > Current occupancy at Gachibowli stands at 30% ; Likely to touch 60% in next 18-24 months
  - > Current occupancy at Begumpet stands at 40-45% ; Likely to touch 65-70% once new Sunshine Secunderabad becomes operational
  - > **Sunshine : EBITDA @ 21.9%** (Compared to consolidated Adjusted EBITDA @ 26.2%)
  - > **Slow down in revenue growth @ Sunshine (Q3FY23 Revenue @ 1,162 Mn vs Q2FY23 @ Rs.1,110)**
  - > *(Reason : Replaced High cost consultants with reasonable cost consultants & hiring of consultants for new departments led to slow growth ; hiring process to be completed in next 2 Qtrs.)*
  - > Kingsway Nagpur EBITDA @ 11.1% can touch ~20% in next 18-20 months based on our internal calculation (Compared to consolidated Adjusted EBITDA @ 26.2%)
  - > Current annualised revenue runrate @ Rs.1,500 Mn likely to touch Rs.2,400-2,600 Mn **(Revenue growth of 60%+)** by bringing in new teams & departments in next 18-20 months
  - > Recruitment process to end by Q1FY24 & revenue growth likely to reflect from Q2FY24 thereby driving margin expansion (~50% of incremental revenue likely to flow to EBITDA because of operating leverage)

- **New Hospitals: On scheduled timeline**
  - > **Bangalore** to be operational in Q1FY24 (sooner than anticipated: Positive)
  - > **Nashik** to be operational by the end of FY24 (sooner than anticipated: Positive)
  - > **Chennai Greenfield project** put on hold, looking for acquisition opportunities

    (EBITDA likely to touch low 20% margin after 24-36 months)
  - > **Thane project:** Will take at least 2 Qtrs.Was suppose to receive authority letter from govt, beyond control of company. Will update next quarter.

- **Growth driver in existing facilities (Telangana & AP Mature) will be led by introduction of newer specialities & gaps in existing specialities.Can grow at single digit as these are mature facilities.**

- **Capex Update :**
  - > Banglore + Nashik : Rs.2500 Mn
  - > Vishakhapatnam Gastro Unit : Rs.750 Mn
  - > **Total Capex for FY23 : ~Rs.3,250 Mn**
  - > **FY24 Capex guidance : Similar to FY23**
  - > **Expected OCF @ current run-rate : ~Rs.4,000 Mn**
  - > **3 year cumulative OCF (Expected) : ~Rs.12,000 Mn (Capex plan inline with OCF generation)**

    (Aim to fund capex through internal accruals ; minor debt possible due to timing difference)
- **Minority Interest at: EBITDA level (12.7% vs 14% a quarter back)**

Valuation & Outlook

Q3 & Q4 are usually soft quarters for Hospital industry & operating leverage benefits do not accrue significantly.With cost rationalisation efforts taking place at new acquired hospitals (Sunshine + Kingsway Nagpur) we expect EBITDA margins to hover around 26-27% mark for next few quarters.

We expect merger benefits to fully accrue from FY24 onwards once Sunshine reaches 25% EBITDA margin from current 21% EBITDA level.

There has been near term slowdown in volume growth.However,long term fundamental growth story continues remains intact & management is confident of closing further 1-2 deals in upcoming quarters to lay foundation for future growth.With healthy balance sheet & steady operating cashflows KIMS is all set for long term growth.We believe in a populous country like India, affordable quality healthcare is the need of the hour & KIMS is at the forefront trying to achieve that.

KIMS @ CMP of Rs.1,450 trades at 12x EV/EBITDA on FY25E ; we value KIMS at 17x EV/EBITDA on FY25E to arrive at a **target price of Rs.1,700** implying at upside of 17%.We have maintained our target price at Rs.1700 level on back of merger benefits accruing in FY24.We have maintained our **ACCUMULATE** rating on the stock.

About the Company:

The company was incorporated as 'Jagjit Singh and Sons Private Limited', on July 26, 1973 at Mumbai. Until the year 2003, the company was owned, managed and controlled by Jagjit Singh and certain of his family members, who together owned the entire shareholding of the company. On February 15, 2003, acting in pursuance of the Takeover MoU, certain of their Promoters, namely Dr. Bhaskara Rao Bollineni and BRMH, along with certain other individuals and entities, acquired the entire equity share capital of the company (then 'Jagjit Singh and Sons Private Limited').The company offers multidisciplinary healthcare services with primary, secondary, and tertiary care across 2-3 tier cities and an additional quaternary healthcare facility in tier-1 cities.

Dr. Bhaskara Rao Bollineni is the Promoter and Managing Director of the company. He has over 27 years of experience in cardiothoracic surgery and has in the past held various positions with Apollo Hospitals, Austin Hospital, University of Melbourne and Mahavir Hospital and Research Centre.
Anitha Dandamudi is the Whole-time Director of the company. She has over 16 years of experience in the hospital industry, having held various positions with the company, and has also served as vice president of administration at e-Talent Software Ltd.
Dr. Abhinay Bollineni is the Promoter and Executive Director of the company. He played a key role in establishing KIMS Kondapur in 2014.

Key Managerial Personnel:

Vikas Maheshwari is the Chief Financial Officer of the company. He has been associated with the company since May 1, 2017. He has over 24 years of experience in accounting, finance and treasury.

Umashankar Mantha is the Company Secretary and General Manager (Legal) of the company. He has been associated with the company since July 1, 2015. He has over 17 years of experience in the secretarial and legal sectors.

Amazing Fact about KIMS Hospital :

Nearly 300 doctors jointly own 9% equity in the company providing long term revenue visibility because doctors are the main revenue driver in hospital business

Financials

P&L (Rs mn)	FY20	FY21	FY22	FY23E	FY24E	FY25E
Net Sales	11,226	13,299	16,510	21,722	26,593	31,097
Raw Material Cost	(2,542)	(2,889)	(3,552)	(4,779)	(5,850)	(6,841)
Employee Cost	(1,980)	(2,202)	(2,619)	(3,493)	(4,229)	(4,866)
Other Expenses	(4,254)	(4,499)	(5,180)	(7,495)	(9,033)	(10,569)
Operating Profit (EBITDA)	**2,450**	**3,709**	**5,160**	**5,955**	**7,480**	**8,821**
Depreciation	(706)	(695)	(727)	(1,244)	(1,415)	(1,376)
PBIT	1,744	3,013	4,433	4,711	6,065	7,444
Other income	61	102	203	223	245	270
Interest	(399)	(325)	(160)	(162)	(195)	(528)
PBT	1,405	2,790	4,475	4,771	6,115	7,186
Share of Profit from JV	-	-	95	-	-	-
Profit before tax (post exceptional)	1,405	2,790	4,570	4,771	6,115	7,186
Provision for tax	(255)	(735)	(1,131)	(1,164)	(1,539)	(1,809)
Reported PAT	**1,151**	**2,055**	**3,440**	**3,608**	**4,576**	**5,377**
MI	(42)	43	111	333	383	441
Net Profit	1,192	2,012	3,329	3,274	4,193	4,937
Adjusted Profit (excl Exceptionals)	**1,192**	**2,012**	**3,329**	**3,226**	**4,193**	**4,937**

Balance Sheet	FY20	FY21	FY22	FY23E	FY24E	FY25E
Equity capital	745	776	800	800	800	800
CCPS	-	-	-	-	-	-
Reserves	5,236	7,861	13,073	16,299	20,492	25,429
Net worth	**5,981**	**8,637**	**13,873**	**17,099**	**21,292**	**26,229**
MI	125	125	233	4,042	4,426	4,866
Non Current Liabilites	3,656	2,816	2,817	2,826	3,135	2,977
Current Liabilites	2,188	2,783	2,150	3,113	3,542	7,480
TOTAL LIABILITIES	**11,950**	**14,362**	**19,073**	**27,081**	**32,395**	**41,552**
Non Current Assets	9,761	9,850	10,633	14,992	17,729	21,139
Fixed Assets	8,334	8,555	8,230	10,761	13,498	16,908
Goodwill	848	848	848	2,676	2,676	2,676
Non Current Investments	-	-	-	-	-	-
Deferred Tax Asset	14	29	32	32	32	32
Long Term Loans and Advances	47	164	175	175	175	175
Other Non Current Assets	517	253	1,348	1,348	1,348	1,348
Current Assets	2,190	4,512	8,440	12,089	14,666	20,413
Current investments	-	-	-	-	-	-
Inventories	304	241	364	417	510	596
Trade Receivables	1,323	1,098	1,286	1,488	1,821	2,130
Cash and Bank Balances	449	2,844	1,901	9,802	11,952	17,304
Short Term Loans and Advances	18	23	-	-	-	-
Other Current Assets	97	306	4,889	383	383	383
TOTAL ASSETS	**11,950**	**14,362**	**19,073**	**27,081**	**32,395**	**41,552**

Cash Flow St. (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E	FY25E
Net Profit	1,192.3	2,011.9	3,328.7	3,226.3	4,192.8	4,936.6
Add: Dep. & Amort.	706.1	695.4	726.7	1,244.3	1,415.1	1,376.2
Cash profits	**1,898.4**	**2,707.2**	**4,055.5**	**4,470.6**	**5,608.0**	**6,312.8**
(Inc)/Dec in						
Sundry debtors	(90.0)	224.5	(188.2)	(201.4)	(333.6)	(308.5)
Inventories	(35.2)	62.9	(123.4)	(52.3)	(93.4)	(86.4)
Loans/advances	(9.7)	(121.6)	11.6	-	-	-
Other Current Assets	290.9	(227.8)	(879.9)	-	-	-
Current Liab and Provisions	95.9	58.8	(295.1)	226.4	38.2	40.1
Sundry Creditors	193.8	84.4	(23.4)	734.0	374.9	407.2
Change in working capital	445.7	81.1	(1,498.3)	706.6	(13.9)	52.4
CF from Oper. activities	**2,344.1**	**2,788.4**	**2,557.2**	**5,177.2**	**5,594.0**	**6,365.3**
CF from Inv. activities	**(1,233.9)**	**(916.5)**	**(4,907.7)**	**(1,097.2)**	**(4,151.7)**	**(4,786.4)**
CF from Fin. activities	**(634.2)**	**523.9**	**953.7**	**3,820.8**	**707.8**	**3,773.1**
Cash generated/(utilised)	**476.0**	**2,395.8**	**(1,396.8)**	**7,900.8**	**2,150.2**	**5,352.0**
Cash at start of the year	(27.5)	448.8	2,844.5	1,900.9	9,801.6	11,951.8
Cash at end of the year	448.5	2,844.6	1,447.7	9,801.6	11,951.8	17,303.8

Ratios	FY20	FY21	FY22	FY23E	FY24E	FY25E
OPM	21.8	27.9	31.3	27.4	28.1	28.4
NPM	10.56	15.01	19.92	14.70	15.62	15.74
Tax rate	(18.1)	(26.4)	(24.7)	(24.4)	(25.2)	(25.2)
Growth Ratios (%)						
Net Sales	22.3	18.5	24.1	31.6	22.4	16.9
Operating Profit	202.6	51.4	39.1	15.4	25.6	17.9
PBIT	611.7	72.8	47.1	6.3	28.8	22.7
PAT	(349.4)	68.7	65.5	(3.1)	30.0	17.7
Per Share (Rs.)						
Net Earnings (EPS)	16.01	25.93	41.59	40.31	52.39	61.68
Cash Earnings (CPS)	25.5	34.9	50.7	55.9	70.1	78.9
Dividend	-	-	-	-	-	-
Book Value	80.3	111.3	173.3	213.7	266.1	327.7
Free Cash Flow	22.0	29.3	31.2	19.0	23.3	(5.1)
Valuation Ratios						
P/E(x)	**90.6**	**55.9**	**34.9**	**36.0**	**27.7**	**23.5**
P/B(x)	18.1	13.0	8.4	6.8	5.5	4.4
EV/EBIDTA(x)	45.0	30.2	22.4	18.1	14.2	11.8
Div. Yield(%)	-	-	-	-	-	-
FCF Yield(%)	**1.5**	**2.0**	**2.2**	**1.3**	**1.6**	**(0.3)**
Return Ratios (%)						
ROE	20%	23%	24%	19%	20%	19%
ROCE	20%	27%	29%	25%	26%	24%

Disclaimer

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